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BEFORE THE MADURAI BENCH OF MADRAS HIGH COURT

Reserved on : 29.04.2026

Pronounced on : 25.06.2026

CORAM:

THE HON'BLE MR.JUSTICE K.MURALI SHANKAR

C.M.A.(MD)Nos.102 to 127 of 2023
and
C.M.P.(MD)Nos.1134, 1136, 1138, 1139, 1141, 1143,
1148, 1150, 1151, 1155, 1159, 1163, 1165, 1167, 1170, 1171, 1173, 1175,
1176, 1179, 1180, 1183, 1184, 1186, 1187 & 1188 of 2023

The Branch Manager,
Bajaj Allianz General Insurance Company Ltd.,
KMA Complex,
12G, Ram Nagar,
Bye Pass Road, Madurai-625010. ...Appellant in all the appeals

Vs.

1.Eliyas ...1st Respondent in CMA(MD)No.102 of 2023

1.Gnanasekar ...1st Respondent in CMA(MD)No.103 of 2023

1.Prabhu ...1st Respondent in CMA(MD)No.104 of 2023

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1.Arokiaraji ...1st Respondent in CMA(MD)No.105 of 2023

1.Santhanamary ...1st Respondent in CMA(MD)No.106 of 2023

1.Thomaiyammal ...1st Respondent in CMA(MD)No.107 of 2023

1.Amala ...1st Respondent in CMA(MD)No.108 of 2023

1.LeoChristhuraj ...1st Respondent in CMA(MD)No.109 of 2023

1.Lehori ...1st Respondent in CMA(MD)No.110 of 2023

1.Dinesh @ Ubhagara Dineshkumar ...1st Respondent in CMA(MD)No.111 of 2023

1.Juliet Grazy ...1st Respondent in CMA(MD)No.112 of 2023

1.Josephraj ...1st Respondent in CMA(MD)No.113 of 2023

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1.Arunkumar ...1st Respondent in CMA(MD)No.114 of 2023

1.Santhanaraj ...1st Respondent in CMA(MD)No.115 of 2023

1.Michael Raj ...1st Respondent in CMA(MD)No.116 of 2023

1.Joseph ...1st Respondent in CMA(MD)No.117 of 2023

1.Arokiaraj ...1st Respondent in CMA(MD)No.118 of 2023

1.Arokiadoss ...1st Respondent in CMA(MD)No.119 of 2023

1.Arokiaraj ...1st Respondent in CMA(MD)No.120 of 2023

1.Minor Pradeep Christopher (represented through his father Arulraj) ...1st Respondent in CMA(MD)No.121 of 2023

1.Sebastiammal ...1st Respondent in CMA(MD)No.122 of 2023

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1.Rani ...1st Respondent in CMA(MD)No.123 of 2023

1.Arputharaj ...1st Respondent in CMA(MD)No.124 of 2023

1.Prabhu ...1st Respondent in CMA(MD)No.125 of 2023

1.Caroline Mary
(represented through her son
Alen Rixy Martin) ...1st Respondent in CMA(MD)No.126 of 2023

1.Minor Gowthamkumar
(represented through his father and
next guardian Arputharaj) ...1st Respondent in CMA(MD)No.127 of 2023

2.Selvakumar

3.Kannan

4.Branch Manager,
United India Insurance Company Ltd.,
Branch Office:I,
114/120, Super Bazar,
Trichy. ...Respondents 2 to 4 in all the appeals

Common Prayer : These Civil Miscellaneous Appeals filed under Section 173 of the Motor Vehicles Act, to set aside the award passed in

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M.C.O.P.Nos.1764, 1749, 1600, 1752, 1760, 1761, 1872, 1762, 1747, 1750, 1598, 1599, 1663 of 2009, 147 of 2010, 1748 of 2009, 313 of 2010, 1751, 595, 586, 457, 584, 1079, 585, 1082, 1080 and 1081 of 2009 on the file of the Motor Accident Claims Tribunal / III Additional Sub Court, Trichirappalli, dated 30.06.2022.

For Appellant : Mrs.K.R.Shivashankari
in all the appeals

For Respondents : No appearance for R1 to R3
in CMA(MD)Nos.102 to 118 of 2023 and R2 & R3 in CMA(MD)Nos.119 to 127 of 2023

Mr.I.Suthakaran for R4
in CMA(MD)Nos.102 to 118 of 2023
and R4 in CMA(MD)Nos.119 to 127 of 2023

Mr.N.Sudhagar Nagaraj for R1 in
CMA(MD)Nos.119 to 127 of 2023

COMMON JUDGMENT

These Civil Miscellaneous Appeals are directed against the common order made in M.C.O.P.Nos.1764, 1749, 1600, 1752, 1760, 1761, 1872, 1762, 1747, 1750, 1598, 1599, 1663 of 2009, 147 of 2010, 1748 of 2009, 313 of 2010, 1751, 595, 586, 457, 584, 1079, 585, 1082, 1080 and 1081 of 2009 dated 30.06.2022 on the file of the Motor Accident Claims Tribunal / III Additional Subordinate Court, Tiruchirappalli.

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2. The appellant / insurer, who was also mulcted with liability to pay portion of the compensation payable to the first respondent in all the appeals / claimants, for the disability sustained by them, in the accident occurred on 15.09.2008, challenged the liability fastened on it.

3. For the sake of convenience and brevity, the parties herein after will be referred to as per their status / ranking in the Tribunal.

4. The case of the claimants is that on 15.09.2008 at about 12.15 a.m., they along with others were travelling as passengers in a van bearing Registration No.TN-29-T-9372 and while the van was proceeding on the Trichy – Ariyalur main road, near the Irudhayapuram Co-operative Societies Bank, its driver drove the vehicle in a rash and negligent manner and at that time, another van bearing Registration No.TN-48-J-3139, which was coming in the opposite direction, was also driven in a rash and negligent manner, dashed against the former van and as a result of the collision between the two vehicles, the van bearing Registration No.TN-29-T-9372 capsized and as a result of which, the claimants sustained multiple grievous injuries.

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5. Admittedly, the van bearing Registration No.TN-29-T-9372 was owned by the first respondent and the same was insured with the second respondent and that the van bearing Registration No.TN-48-J-3139 was owned by the third respondent and the same was insured with the fourth respondent at the time of accident.

6. The defence of the second respondent / insurer is that the vehicle bearing Registration No. TN-29-T-9372, involved in the accident, is a goods vehicle and that as many as 58 persons were travelling therein for attending a marriage function. According to the second respondent, the carriage of such a large number of persons in the goods vehicle constituted a clear violation of the permitted seating capacity, the permit conditions, the terms and conditions of the insurance policy, and the provisions of the Motor Vehicles Act. It is further contended that the claimants were travelling in the said vehicle as unauthorized gratuitous passengers, that the insurance policy did not provide coverage for such passengers, and therefore, the second respondent is not liable to indemnify the claim.

7. The second respondent has also taken a specific stand that the accident occurred solely due to the rash and negligent driving of the driver

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of the third respondent's vehicle and that the driver of the first respondent's vehicle was in no way responsible for the occurrence of the accident.

8. The learned trial Judge, upon considering the evidence available on record, has rendered a finding that the accident occurred only due to the rash and negligent driving of the first respondent's vehicle driver. The Tribunal, relying on the principle laid down by the Hon'ble Supreme Court in ***National Insurance Co. Ltd., Vs. Anjana Shyam and others*** reported in ***CDJ 2007 (SC) 895*** and treating the seating capacity as three (including the driver), restricted the insurer's liability to the equivalent of two claims and directed proportionate distribution of Rs.37,26,600/- among all the claimants but leaving the balance liability on the owner.

9. It is pertinent to mention that the second respondent has not challenged the said finding of the Tribunal that the first respondent's vehicle driver alone was at fault, but the challenge, in the present appeals, is that since the claimants travelled as gratuitous passengers, the second respondent cannot be made liable.

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10. The learned counsel appearing for the second respondent would submit that the claimants were travelling in the insured goods vehicle only as gratuitous passengers for attending a marriage function of their relative and not as owner of goods, that all of them travelled on the back side of the goods vehicle, that unauthorized passengers were not covered under the policy of insurance, that the Tribunal ought to have fixed the entire liability against the owner of the offending vehicle as he alone permitted more than 55 persons to travel in the goods vehicle in total violation of the conditions of the policy, permissible seating capacity and permit of the vehicle concerned and also the provisions of the Motor Vehicles Act and that therefore, the decision of the Tribunal in fixing the liability against the second respondent is legally unsustainable and the same is liable to be set aside.

11. The learned counsel appearing for the second respondent would further submit that in a policy of insurance, which is mandatory under the provisions of the Motor Vehicles Act, is not required to cover the risk in case of an unauthorized or a gratuitous passenger in the goods vehicle after amendment of Section 147 by Act 54 of 1994 and it will be the

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liability of the insured only to satisfy such awards and not the insurance company and that the Hon'ble Supreme Court in ***New India Assurance Co. Ltd., Vs. Asha Rani and others*** reported in ***2004 (2) TN MAC 387 (SC)*** and in ***National Insurance Company Ltd., Vs. Baljit Kaur and others*** reported in ***(2004) 2 SCC 1,*** has specifically held that in respect of goods vehicle, the liability of the insurer does not cover gratuitous passengers and as such, the principle of pay and recovery cannot be made applicable.

12. In reply to the said contention, the learned counsel appearing for the fourth respondent placed reliance on the decision of the Hon'ble Supreme Court in ***Sunita and others Vs. United India Insurance Co. Ltd., and others*** reported in ***2026 (1) TN MAC 1 (SC)*** and contended that the Hon'ble Supreme Court has specifically held that even in cases involving gratuitous passengers, the insurance company is liable to satisfy the award in the first instance and thereafter recover the same only from the owner of the offending vehicle, by invoking the doctrine of pay and recovery.

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13. The learned counsel appearing for the claimants in C.M.A.(MD) Nos.119 to 127 of 2023 would submit that the Tribunal has apportioned the liability equally, fixing 50% on the first respondent/owner and the remaining 50% on the second respondent/insurer. He would further contend that, in view of the law laid down by the Hon'ble Supreme Court in ***Sunita (supra) and Anu Bhanvara and others Vs. IFFCO Tokio General Insurance Co. Ltd. and others,*** reported in ***2019 (2) TN MAC 433 (SC)***, the doctrine of pay and recovery is squarely applicable to the case on hand and, therefore, the objections raised by the second respondent against the invocation of the said doctrine are liable to be rejected.

14. In ***Anu Bhanvara's case*** referred above, the Hon'ble Supreme Court was dealing with the claimants, who were admittedly gratuitous passengers travelled in a goods vehicle and held that the insurer was on the question of contractual and statutory liability but considering the fact that the claimants therein are young children, who suffered permanent disability and in view of the peculiar facts and circumstances of the case, directed the insurer to satisfy the award first and recover the amount from

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the owner. As rightly contended by the learned counsel appearing for the second respondent, the decision in ***Anu Bhanvara's case*** does not lay down that gratuitous passengers are covered by the policy or that insurer has substantiative liability. No doubt, in ***Sunita's case*** referred above, the Hon'ble Supreme Court referred to the principle that even whether the insurer may ultimately not be liable, the Courts can in appropriate cases direct the insurer to pay claims and recover the same from the insured owner.

15. Before proceeding further, it is necessary to refer the decision of the three-judges Bench of the Hon'ble Supreme Court in ***Asha Rani's case*** referred above,

> *"On the other hand it clearly that the legislature wanted to bring within the sweep of Section 147 and making it compulsory for the insurer to insure even in case of a goods vehicle, the owner of the goods or his authorised representative being carried in a goods vehicle when that vehicle met with an accident and the owner of the goods or his authorised representative either dies or suffers bodily injury. The judgment of this Court in Satpal case therefore must be held to have not been correctly decided and the impugned judgment of the Tribunal as*

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well as that of the High Court accordingly are set aside and these appeals are allowed. It is held that the insurer will not be liable for paying compensation to the owner of the goods or his authorised representative on being carried in a goods vehicle when that vehicle meets with an accident and the owner of the goods or his representative dies or suffers any bodily injury.

In view of the changes in the relevant provisions in 1988 Act vis--vis 1939 Act, we are of the opinion that the meaning of the words "any person" must also be attributed having regard to the context in which they have been used i.e. 'a third party'. Keeping in view the provisions of 1988 Act, we are of the opinion that as the provisions thereof do not enjoin any statutory liability on the owner of a vehicle to get his vehicle insured for any passenger travelling in a goods vehicle, the insurers would not be liable therefor."

16. As rightly pointed out by the learned counsel appearing for the second respondent, the Hon'ble Supreme Court in ***Baljit Kaur's case*** referred above, after referring to the decision in ***Asha Rani's case,*** observed as follows;

"It is therefore, manifest that in spite of the amendment of 1994, the effect of the provision contained in Section 147 with respect to persons other than the

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owner of the goods or his authorized representative remains the same. Although the owner of the goods or his authorized representative would now be covered by the policy of insurance in respect of a goods vehicle, it was not the intention of the legislature to provide for the liability of the insurer with respect to passengers, especially gratuitous passengers, who were neither contemplated at the time the contract of insurance was entered into, nor any premium was paid to the extent of the benefit of insurance to such category of people."

17. At this juncture, it is necessary to refer the judgment of the Hon'ble Division Bench of this Court in ***Bharati AXA General Insurance Co. Ltd., Vs. Aandi and others*** reported in ***2018 (2) TN MAC 731 (DB),*** wherein, after referring to the provisions of Sections 147 and 149 of the Motor Vehicles Act, it was held that the legal position is well settled that an Insurance Company is not bound to indemnify the insured in respect of the death or injury to a person travelling as a gratuitous passenger in a goods vehicle.

18. The learned counsel appearing for the second respondent would submit that the law laid down by the Hon'ble Supreme Court in ***New India***

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Assurance Co. Ltd. Vs. Asha Rani continues to hold the field and that the consistent principle reiterated in the subsequent decisions is that gratuitous passengers travelling in a goods vehicle are not covered under the terms and conditions of the policy and, consequently, the insurer cannot be made liable to indemnify the insured in respect of such passengers.

19. The learned counsel appearing for the second respondent would further contend that in ***National Insurance Co. Ltd. Vs. Parvathneni and another,*** reported in ***2018 (9) SCC 657,*** the three-Judge Bench of the Hon'ble Supreme Court observed that the questions of law raised therein were left open to be decided in an appropriate case. The learned counsel would further submit that the decision in ***Sunita*** cannot therefore be construed as having laid down any ratio regarding the liability of the insurer in respect of gratuitous passengers travelling in a goods vehicle.

20. Considering the above submissions, this Court is of the view that the legal position, as it now stands, is well settled that a gratuitous passenger travelling in a goods carriage is not a person whose risk is

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required to be compulsorily covered under a statutory policy. The decisions of the Hon'ble Supreme Court in ***Asha Rani, Baljit Kaur,*** and the subsequent judgments have consistently held that the insurer cannot be fastened with statutory liability in respect of such occupants.

21. As already pointed out, though the claimants would contend that they were travelling along with sreedhana articles in connection with a marriage function, except making such a bald and vague assertions, they have not let in any acceptable evidence to establish either that they have transported some goods in the said vehicle and the nature of the same or the capacity in which the claimants travelled in the vehicle. It is pertinent to mention that 55 persons travelled in the goods vehicle. In the absence of any satisfactory evidence to show that the claimants were taking the goods in the said vehicle and they were the owners of the said goods, this Court has no other option but to say that they have not covered under the insurance policy or the Motor Vehicles Act.

22. A cursory perusal of the judgments relied upon by both sides would show that the directions issued therein were only to pay and

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recover, with a view to protecting the interests of third parties, and not to declare that the insurer was statutorily liable to indemnify the claims of gratuitous passengers and that therefore, those decisions cannot be construed as authority for the proposition that the insurer is liable to satisfy the claims of the gratuitous passengers as a matter of course. More importantly, in the present case, the Tribunal has not invoked the doctrine of pay and recovery and there was admittedly no direction to the second respondent to pay the entire award amount and to recover the same from the owner of the vehicle. But on the other hand, the Tribunal, after holding that the seating capacity of the vehicle was only three and the driver of the offending vehicle had not laid any claim and after noticing that 55 persons had travelled in the goods vehicle, proceeded to apply the ratio laid down in ***Anjana Shyam's case*** and restricted the insurer's liability to a specify extent by directing payment of proportionate compensation.

23. It is pertinent to note that the principle laid down in ***Anjana Shyam's case*** was evaluated in the context of determining the extent of liability whether the insurer otherwise had coverage in respect of a limited number of passengers but the said principle cannot be invoked to create a

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partial liability, where the risk itself is outside the scope of coverage. Once it is held that the claimants travelled as gratuitous passengers and that the insurance policy did not cover such risk, the insurer cannot be mulcted with liability merely on the basis of the number of passengers for whom coverage was available under the policy. As rightly contended by the learned counsel appearing for the second respondent, in that scenario, the proper course would be either to exonerate the insurer all together or to invoke the principle of pay and recovery but as per the dictum laid down by the larger bench of the Hon'ble Supreme Court, the said principle cannot be invoked to cover the gratuitous passengers in a goods vehicle. Whatever it is, the fastening of proportionate liability on the second respondent by applying the formula adopted in ***Anjana Shyam's case*** cannot legally be sustained.

24. The finding of the Tribunal directing the second respondent to satisfy a portion of the award and directing the owner to pay the balance amount proceeds on an erroneous premise that the insurer had, at least, a limited liability towards the claims. Since the claimants are found to be gratuitous passengers, the insurer cannot be fastened with any liability.

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25. In view of the above, this Court has no hesitation in holding that the finding of the Tribunal imposing proportionate liability on the second respondent is legally unsustainable and is liable to be set aside. Consequently, this Court holds that the second respondent is not liable for the claim and the first respondent / owner of the vehicle alone is liable for the claims. Considering the other facts and circumstances, this Court further holds that the parties are to be directed to bear their own costs.

26. In the result, these Civil Miscellaneous Appeals are allowed and the finding of the Tribunal mulcting liability on the appellant / insurer is set aside. The appellant / insurer is exonerated. The second respondent / owner of the vehicle is directed to deposit the entire award amount with interest and costs from the date of petition till the date of realization excluding the default period, if any, to the credit of M.C.O.P.Nos.1764, 1749, 1600, 1752, 1760, 1761, 1872, 1762, 1747, 1750, 1598, 1599, 1663 of 2009, 147 of 2010, 1748 of 2009, 313 of 2010, 1751, 595, 586, 457, 584, 1079, 585, 1082, 1080 and 1081 of 2009 on the file of the Motor Accident Claims Tribunal / III Additional Sub Court, Trichirappalli, within a period of four weeks from the date of receipt of a copy of this judgment.

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If the amount was already deposited by the appellant / insurer, the amount shall be withdrawn by them along with interest. Consequently, connected Miscellaneous Petitions are closed. Parties are directed to bear their own costs.

25.06.2026

NCC :yes/No
Index :yes/No
Internet:yes/No
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To

1. The III Additional Subordinate Judge,
   Motor Accident Claims Tribunal /
   Tiruchirappalli.

2.The Record Keeper,
  Vernacular Section,
  Madurai Bench of Madras High Court,
  Madurai.

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K.MURALI SHANKAR,J.

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Pre-Delivery Common Judgment made in
C.M.A.(MD)Nos.102 to 127 of 2023

Dated : 25.06.2026

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